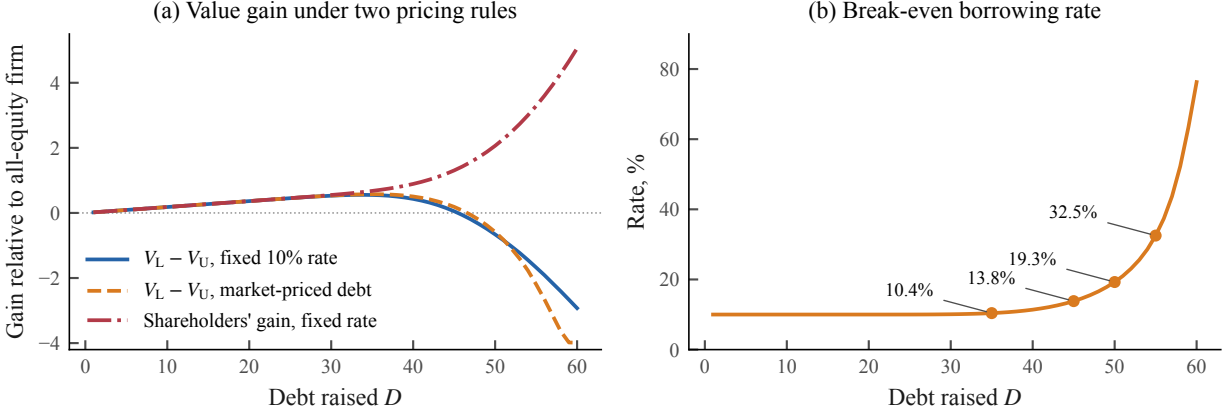
(a) Value gain under two pricing rules
Gain relative to all-equity firm
4
2
0
−2
−4
0
10
20
30
40
50
60
Debt raised D
V_L − V_U, fixed 10% rate
V_L − V_U, market-priced debt
Shareholders' gain, fixed rate
(b) Break-even borrowing rate
Rate, %
80
60
40
20
0
0
10
20
30
40
50
60
Debt raised D
10.4%
13.8%
19.3%
32.5%